



Guidelines for Review of Unfair Trade Practices

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I. Purpose

These Guidelines are established pursuant to Article 45(1) (Prohibition on Unfair Trade Practices) of the *Monopoly Regulation and Fair Trade Act* (hereinafter referred to as the “Act”) and Attached Table 2 to Article 52 of the Enforcement Decree of the Act. They aim to serve as a reference for determining illegality and to prevent business operators from violating the law by providing specific standards for the “types and criteria of unfair trade practices” prescribed therein and by presenting illustrative examples of practices that may constitute such acts.

II. Scope of Application

1. These Guidelines are formulated based on the common and representative activities of business operators. Therefore, even if a particular practice is not expressly listed herein, it may still constitute a violation of Article 45(1) of the Act. Conversely, a practice corresponding to the “examples of potentially illegal conduct” described in these Guidelines shall not automatically be deemed a violation if, upon review, it is determined that there is no, or only minimal, likelihood of hindering fair trading.
2. Unfair support practices under Article 45(1)(9) of the Act are governed by the *Guidelines for Review of Unfair Support Practices* (KFTC Established Rule No. 355) and are thus excluded from the scope of these Guidelines.
3. Even if a business operator’s conduct does not violate the guidelines for reviewing unfair trade practices prescribed herein, it may still constitute other prohibited practices, such as abuse of market-dominant position, illegal cartel conduct, or prohibited acts of trade associations. If conduct falling under these Guidelines also constitutes an abuse of market dominance under Article 5 (Prohibition on Abuse of Market Dominance) of the Act, Article 5 shall take precedence.
4. These Guidelines also apply where a foreign business operator, through contracts, resolutions, or other practices carried out domestically or abroad, is likely to hinder fair trading in the domestic market. This applies regardless of whether the foreign business operator has a business presence in Korea or whether its trading partner is a domestic business or consumer.

III. General Principles for Determining Illegality

1. Criteria for Determining Illegality

a. Likelihood of hindering fair trading

- (1) The standard for determining whether each type of practice set forth in Article 45(1) of the Act constitutes a violation is whether the practice has a likelihood of hindering fair trading (hereinafter referred to as the “likelihood of hindering fair trading”).

(2) The meaning of “likelihood of hindering fair trading”

- (i) The term “likelihood of hindering fair trading” has the same meaning as “unfairly” used in the subparagraphs of Article 45(1) of the Act.
- (ii) The term “likelihood of hindering fair trading” conceptually encompasses both the restriction of competition and unfairness.
- (iii) “Restriction of competition” means that a practice significantly reduces, or is likely to reduce, the level of market competition or the number of actual or potential competitors.
- (iv) “Unfairness” refers to the unfair nature of competitive means or transaction conditions. Unfairness in competitive means refers to hindering—or likely hindering—fair competition by using improper means rather than legitimate competition on the merits (i.e., based on price or quality). Unfairness in transaction conditions refers to hindering—or likely hindering—the basis of fair trading by restricting the trading partner’s freedom of choice or by imposing disadvantages.

(3) Distinction between “unfairly” and “without justifiable grounds”

- (i) The method for determining the likelihood of hindering fair trading is further specified in each subparagraph of Attached Table 2 to Article 52 of the Decree as either “unfairly” or “without justifiable grounds.”
- (ii) For practices requiring the element “unfairly,” the mere external appearance of such practice does not automatically establish a likelihood of hindering fair trading. In principle, the Korea Fair Trade Commission (KFTC) weighs the anti-competitive and unfair effects against efficiency-enhancing or consumer-welfare-promoting effects; a practice is deemed illegal only where the anti-competitive and unfair effects outweigh the pro-competitive effects. In such cases, the KFTC (Secretariat) bears the burden of proving illegality.
- (iii) For practices requiring the element “without justifiable grounds” (e.g., collective refusal to deal, discriminatory treatment favoring affiliates, or continuous predatory pricing), the external appearance of such practice is, in principle, presumed to involve a likelihood of hindering fair trading. In such cases, the burden of proving the existence of justifiable grounds shifts to the respondent (Supreme Court Decision 2000Du833).

(4) Meaning of “likelihood”

The term includes not only cases where specific effects of hindering fair trading have already manifested but also those where such effects are highly probable. It also covers cases where the effect is currently minimal or absent but is likely to occur in the future.

b. Determination of illegality

In principle, the likelihood of hindering fair trading is determined based on the actual and potential effects of the conduct. The intent of the business operator or the subjective expectations of a trading partner serve as circumstantial evidence in proving the likelihood of hindering fair trading.

2. Establishment of a Safety Zone

a. Definition

A safety zone refers to cases where, in light of a business operator’s market share and other relevant factors, a practice is ordinarily deemed to have only a minimal likelihood of hindering fair trading. Therefore, even if a practice appears to possess the external appearance of an unfair trade practice, it is regarded as lacking such likelihood; in principle, the KFTC does not initiate a

review procedure and treats the case as “exempt from review.”

b. Legal effect

The safety zone is limited to unfair trade practices under Article 45(1) of the Act (excluding unfair support practices under Subparagraph 9). Even if a business operator’s conduct falls within the safety zone, it does not preclude the KFTC from initiating a review regarding the application of the Act. Likewise, a business operator’s conduct that falls outside the safety zone is not automatically presumed to be illegal.

c. Types of practices falling within the safety zone

The safety zone applies to types of unfair trade practices that are examined primarily for their effect of restricting competition (hereinafter referred to as “practices subject to the competition-restriction requirement”). The specific scope thereof is set forth in “V. Criteria for Determining Illegality by Type of Practice” of these Guidelines. The reason for applying the safety zone to such types of practices is that, when a business operator’s market share or sales revenue is small, its impact on market competition is negligible. Conversely, practices examined primarily for unfairness are not covered by the safety zone.

3. Criteria for Determining the Restriction of Competition

The competition-restricting effect of unfair trade practices shall be determined in accordance with the attached *Criteria for Determining the Restriction of Competition*.

IV. Determination of the Scope of the Relevant Market

1. In analyzing the competition-restricting effect of unfair trade practices under Article 45(1) of the Act, the determination of the scope of the relevant market is of significant importance. If the scope of the relevant market is determined more broadly than appropriate, the effects of the practice may be underestimated; conversely, if it is determined more narrowly than appropriate, the effects may be overestimated. Furthermore, determining the scope of the relevant market is also critical when calculating market share to decide whether a practice falls within the safety zone.

2. The scope of the relevant market is determined based on the characteristics of the relevant product (goods or services), geographic area, level of trade, and customer groups. When determining the scope of the market based on the characteristics of the relevant product, both demand substitutability and supply substitutability of the relevant goods or services shall be comprehensively considered. Likewise, when determining the scope of the market based on geographic area, both demand substitutability (whether demand can shift to other areas) and supply substitutability (whether supply can shift from other areas to the area concerned) shall be comprehensively assessed.

3. The specific considerations for determining the scope of the market described above shall be applied *mutatis mutandis* in accordance with the “Criteria for Determining a Relevant Market” set forth in the *Guidelines for Review of Mergers and Acquisitions*.

V. Criteria for Determining Illegality by Type of Practice

1. Refusal to Deal

In principle, a business operator may freely decide whether to commence or continue a transaction, and with whom to deal. However, if the refusal to commence or continue a transaction

is conducted in a manner that significantly hinders another enterprise's business activities and, as a result, reduces the degree of competition in the relevant market—or if the refusal to deal is used as a means to ensure the effectiveness of a practice prohibited under the Act—such practice restricts competition in the relevant market and reduces market efficiency, and therefore is prohibited.

a. Collective refusal to deal

A practice undertaken jointly with another competing business operator, without justifiable grounds, to refuse to commence transactions with a specific business operator, to discontinue an ongoing transaction with a specific business operator, or to substantially restrict the quantity or substance of the relevant goods or services (Attached Table 2 to the Decree)

(1) Scope of review

- (i) Jointly refusing to deal with a particular trading partner may be subject to review.
- (ii) Refusal to deal includes refusal to supply, refusal to purchase, refusal to commence a transaction, and refusal to continue a transaction. It also includes presenting unreasonably disadvantageous transaction terms to a trading partner, or substantially restricting the quantity or substance of the relevant goods or services, thereby effectively refusing to deal.
- (iii) A trading partner subject to a refusal to deal must be a particular business operator. Therefore, where a business operator sets reasonable standards for its production or sales policy and refuses to deal with unspecified business operators that do not meet such standards, such practice is, in principle, not subject to review.
- (iv) Refusal to deal with trading partners that are not business operators, i.e., consumers, is not subject to review.

(2) If a collective refusal to deal meets the requirements of an illegal cartel conduct under Article 40(1) of the Act, the relevant provisions on such cartel conduct shall take precedence.

(3) Criteria for determining illegality

- (i) The primary consideration is whether the collective refusal to deal restricts competition in the relevant market. The term “relevant market” refers to the market in which the business operator or the affected trading partner operates.
- (ii) A business operator subject to a collective refusal to deal may face difficulty in commencing or continuing transactions with multiple business operators, thereby hindering its business activities and likely hindering fair competition as a result. Therefore, a collective refusal to deal is, in principle, presumed to have competition-restricting effects.
- (iii) However, where business operators demonstrate the presence of “justifiable grounds,” the validity thereof shall be evaluated; if such justification is recognized, the practice may be deemed not to hinder fair trading. Justifiable grounds may include:

- ① Where a shortage of inventory, or the possibility of default due to the trading partner's insolvency and similar circumstances, renders the collective refusal to deal reasonable.
- ② Where the affected business operator can easily find alternative trading partners despite collective refusal to deal.
- ③ Where business operators have pre-established reasonable qualification criteria for transactions, and refuse to commence transactions with enterprises failing to meet such criteria.

④ Where the efficiency gains or increase in consumer welfare arising from the collective refusal to deal substantially outweigh its competition-restricting effects.

⑤ Any other grounds deemed reasonable for the collective refusal to deal, etc.

(4) Establishment of a safety zone

Notwithstanding the above, if the combined market share of business operators engaging in a collective refusal to deal is less than 10%, their competition-restricting effects in the market are considered minimal; therefore, such practice shall, in principle, be exempt from review. However, where it is practically impossible or significantly difficult to calculate market share, if the combined annual sales revenue of the business operators concerned is less than KRW 5 billion, the practice shall likewise be exempt from review.

b. Other refusals to deal

Unfairly refusing to commence a transaction with a particular business operator, discontinuing an ongoing transaction with a particular business operator, or substantially restricting the quantity or substance of the relevant goods or services (Attached Table 2 to the Decree)

(1) Scope of review

(i) Conduct whereby a business operator unilaterally refuses to deal with a particular business operator may be subject to review.

(ii) Refusal to deal includes refusal to supply, refusal to purchase, refusal to commence a transaction, and refusal to continue a transaction. It also includes presenting unreasonably disadvantageous transaction terms to a trading partner, or substantially restricting the quantity or substance of the relevant goods or services, thereby effectively refusing to deal.

(iii) A trading partner subject to a refusal to deal must be a particular business operator. Therefore, where a business operator sets reasonable standards for its production or sales policy and refuses to deal with unspecified business operators that do not meet such standards, such conduct is, in principle, not subject to review.

(iv) Refusal to deal with trading partners that are not business operators, i.e., consumers, is not subject to review.

(2) Criteria for determining illegality

(i) The primary consideration is whether the unilateral refusal to deal restricts competition in the relevant market. The “relevant market” refers to the market in which the business operator or the affected trading partner operates.

(ii) Whether there exists competition-restricting effect shall be determined comprehensively by considering the following factors:

① Whether the goods or services subject to the refusal to deal are essential for the trading partner’s business operations. If not essential, the restriction of competition may be deemed less likely.

② Whether the affected business operator can readily find alternative trading partners without difficulty. If alternative trading partners can be found without significant cost, the restriction of competition may be deemed less likely.

③ Whether the refusal to deal substantially hinders the affected trading partner’s business activities and thereby substantially reduces competition in the relevant market.

④ Whether the refusal to deal impedes the market entry of competitors (including potential

competitors)

⑤ Whether the refusal to deal is used as a means to enforce other practices prohibited under the Act (e.g., resale price maintenance, illegal cartel conduct).

(iii) Even where competition-restricting effects are recognized, if the refusal to deal is found justifiable based on any of the following grounds, it may not be deemed a violation of the Act:

① Where a shortage of production or inventory makes it impossible to supply the quantity required by the trading partner.

② Where the trading partner faces insolvency or is clearly at fault, or where the business operator itself faces a risk of insolvency, and no alternative response other than refusal to deal is feasible.

③ Where the efficiency gains or increase in consumer welfare arising from the refusal substantially outweigh its competition-restricting effects.

④ Any other grounds deemed reasonable for the unilateral refusal to deal, etc.

(3) Where a business operator in a superior bargaining position refuses to deal without justifiable grounds as part of unfair treatment or with the intent to hinder the trading partner's business activities, such conduct may constitute an abuse of superior bargaining position (imposition of disadvantage) or interference with business activities (hindrance of other business activities); in such cases, a separate analysis of competition-restricting effects is not required.

(4) Establishment of a safety zone

Notwithstanding the foregoing, where the market share of a business operator engaging in a unilateral refusal to deal is less than 10%, its competition-restricting effects in the market shall be deemed minimal; therefore, such practice shall, in principle, be exempt from review. However, where it is practically impossible or significantly difficult to calculate market share, if the annual sales revenue of the business operator is less than KRW 5 billion, the practice shall likewise be exempt from review.

(5) Examples of practices potentially constituting a violation

(i) Refusal to deal without justifiable grounds, resulting in substantial difficulty in the business operations of another business operator and a significant restriction of competition in the relevant market.

(ii) Unfairly discontinuing or restricting transactions with other business operators that deal with competitors—while continuing transactions with business operators that deal exclusively with, or are closely related to, the business operator concerned—thereby restricting competition in the relevant market.

(iii) Coercing sellers or distributors who procure raw materials from the business operator to refuse without justifiable grounds to supply competing business operators in the upstream market, thereby restricting competition in the relevant market.

(iv) Discontinuing the supply of raw materials (or coercing others to do so), without justifiable grounds, to a particular business operator seeking new entry into the market in which the business operator operates, thereby restricting competition in the relevant market.

(v) Discontinuing the supply of raw materials to a competitor of an affiliated business operator that manufactures finished products using the business operator's raw materials, with the intent to exclude such competitor from the relevant finished-product market.

- (vi) Refusing, without justifiable grounds, to supply raw materials to a finished-goods manufacturer seeking to produce or procure raw materials in-house, with the intent to maintain or strengthen one's market position.
- (vii) Refusing to deal with certain types of distributors—such as discount stores and online sellers—without justifiable grounds, thereby placing them at a competitive disadvantage relative to offline sellers.
- (viii) Requiring a trading partner to purchase specified goods or services from a designated business operator as a condition for the transaction, and refusing to deal if the trading partner does not comply, thereby affecting competition in the market for such goods or services.

2. Discriminatory Treatment

In principle, a business operator is free to set prices and transaction terms. However, where a business operator, either individually or jointly, sets prices or transaction terms in a discriminatory manner based on the geographic area or the trading partner, and such discriminatory treatment hinders fair competition in the market in which it or its trading partner operates, thereby undermining market efficiency, such practice is prohibited.

a. Price discrimination

Unfairly engaging in transactions at prices that are significantly advantageous or disadvantageous depending on the geographic area or the trading partner (Attached Table 2 to the Decree)

(1) Scope of review

- (i) Price discrimination based on the geographic area or the trading partner may be subject to review. Price herein refers to all consideration actually paid by the trading partner for the supply of goods or services, including transaction terms that directly affect the price, such as discount rates. The goods or services that are the subject of the transaction shall be substantially identical.
- (ii) Trading partners subject to price discrimination must be business operators or consumers.

(2) Criteria for determining illegality

- (i) The primary consideration is whether the price discrimination restricts competition in the market in which the business operator or its trading partner operates.
- (ii) Whether a competition-restricting effect exists shall be determined comprehensively by considering the following factors:

< Competition-restricting effects in the business operator's market >

- ① Whether the business operator maintains or strengthens its market position through price discrimination, or is likely to do so.
- ② Whether the price discrimination is undertaken with the intent to exclude competing business operators. Price discrimination implemented to enter a new market may be viewed as a means of meeting competition and therefore having a minimal exclusionary effect on competitors.
- ③ Whether the extent of price discrimination is likely to exclude competing business operators in the relevant market, or whether the price level set through price discrimination falls below the production or purchase cost of the relevant goods or services.
- ④ Whether the price discrimination is a one-off occurrence or continuous. An isolated

instance is likely to have minimal competition-restricting effects, whereas such effects may increase as the conduct persists over time.

< Competition-restricting effects in the trading partner's market >

① Whether the trading partners subject to price discrimination, or their competitors in the market in which they operate, are excluded, or are likely to be excluded, as a result of the price discrimination.

② Whether the trading partners treated relatively disadvantageously can readily switch to alternative trading partners. Where the trading partners subject to price discrimination can easily switch trading channels, the restriction of competition may be considered minimal.

③ Whether the extent of price discrimination creates a risk of excluding the trading partners' competitors, or whether the price level set through such discrimination falls below the production or purchase cost of the relevant goods or services.

④ Whether the price discrimination is a one-off occurrence or continuous. An isolated instance of price discrimination is likely to have minimal competition-restricting effects, whereas such effects may increase as the conduct persists over time.

(iii) Even where competition-restricting effects are found, price discrimination may not be deemed a violation of the Act if it is reasonable on any of the following grounds:

① Where the price discrimination reflects differences in marginal costs or market conditions based on factors such as transaction volume, transportation costs, the trading partner's role, or the perishability of the goods, etc.

② Where efficiency-enhancing effects (e.g., benefits to business operators receiving price discounts, increased economic efficiency) or consumer-welfare-promoting effects arising from the price discrimination substantially outweigh its competition-restricting effects.

③ Any other grounds for which the price discrimination is deemed reasonable.

(3) Establishment of a safety zone

Notwithstanding the foregoing, where the market share of the business operator engaging in price discrimination is less than 10%, the competition-restricting effects in the relevant market shall be deemed minimal, and such practice shall, in principle, be exempt from review. However, where it is practically impossible or significantly difficult to calculate market share, if the annual sales revenue of the business operator concerned is less than KRW 5 billion, the practice shall likewise be exempt from review.

(4) Examples of practices potentially constituting a violation

(i) Where, without justifiable grounds, a business operator sets prices significantly lower in a highly competitive area than in other areas in order to strengthen its market position, thereby creating a risk of excluding competing business operators in that area.

(ii) Where, to strengthen its market position, a business operator grants materially more favorable pricing to trading partners (business operators or consumers) that purchase two or more goods or services it supplies—including both products with high market shares and those with low market shares—thereby hindering competition in the markets for the products with lower market shares.

(iii) Where, without justifiable grounds, a market-dominant business operator grants a particular business operator substantially favorable pricing, thereby conferring an undue competitive

advantage over its competitors and impairing fair competition.

(iv) Where a business operator providing services in an oligopolistic market imposes transaction fees on trading partners on materially advantageous or disadvantageous terms solely based on the type of business they operate—without regard to sales volume or cost factors—thereby placing certain business operators at a competitive advantage or disadvantage relative to others in the same line of business.

(v) Where a business operator with substantial market share generally applies progressive discounts based on purchase volume but, without justifiable grounds, applies a uniformly higher discount rate—exceeding the standard maximum discount—regardless of purchase volume to a small number of trading partners, thereby creating disparities in competitiveness among business operators.

b. Discrimination in transaction terms

Unfairly treating a particular business operator in a significantly advantageous or disadvantageous manner with respect to transaction terms or other aspects of the transaction, such as quantity or quality. (Attached Table 2 to the Decree)

(1) Scope of review

(i) Discrimination in transaction terms other than price may be subject to review. This refers to discriminatory treatment in transaction terms other than price or terms directly related to price (e.g., quantity discounts), such as the method of performance, delivery terms, or payment terms.

(ii) Discrimination in transaction terms applies to particular business operators and does not include discrimination against consumers. However, the target of discrimination need not be individually identified; discriminatory treatment applied to all business operators meeting certain criteria, or all business operators located in a particular area, shall also be deemed discrimination against a particular trading partner (or group of trading partners), as applicable.

(2) Criteria for determining illegality

(i) The primary consideration is whether the discrimination in transaction terms restricts competition in the market in which the business operator or its trading partner operates.

(ii) Whether competition-restricting effects exist, and whether the conduct may nevertheless not be deemed a violation, shall be determined in accordance with the criteria applied to price discrimination, *mutatis mutandis*.

(3) Establishment of a safety zone

Notwithstanding the foregoing, where the market share of the business operator engaging in discrimination in transaction terms is less than 10%, competition-restricting effects in the relevant market shall be deemed minimal, and such practice shall, in principle, be exempt from review. However, where it is practically impossible or significantly difficult to calculate market share, if the annual sales revenue of the business operator concerned is less than KRW 5 billion, the practice shall likewise be exempt from review.

(4) Examples of practices potentially constituting a violation

(i) Where, without justifiable grounds, a business operator offers substantially more favorable payment terms in a highly competitive area than in other areas, thereby creating a risk of excluding competing business operators from the relevant market.

(ii) Where, without justifiable grounds, a business operator imposes significantly less favorable

terms on agents (distributors) that also handle competitors' goods or services or imported goods—such as unfavorable delivery schedules, collection times, or payment methods—thereby hindering those agents' business activities or restricting competition among agents.

c. Discrimination in favor of an affiliate

Without justifiable grounds, unfairly setting prices, transaction terms, or other transaction conditions (e.g., quantity or quality) in a significantly advantageous or disadvantageous manner to favor an affiliated company. (Attached Table 2 to the Decree)

(1) Scope of review

- (i) Discriminatory treatment in price, transaction terms, or other transaction conditions that favor an affiliated company may be subject to review.
- (ii) Trading partners subject to such discrimination may include consumers.

(2) Criteria for determining illegality

- (i) The primary consideration is whether the discriminatory treatment in favor of an affiliated company restricts competition or gives rise to concerns regarding the concentration of economic power. In particular, where prices, transaction terms, or other transaction conditions are set in a manner that is significantly advantageous to an affiliated company, or significantly disadvantageous to its competitors, such practice shall, in principle, be presumed to be intended to favor the affiliated company and may be found to restrict competition or raise concerns regarding the concentration of economic power.
- (ii) However, where the business operator engaging in such conduct establishes the existence of justifiable grounds, the legitimacy of those grounds shall be assessed. Where such grounds are recognized, the conduct may not be deemed a violation of the Act. Justifiable grounds may include:
 - ① Where efficiency-enhancing effects or consumer-welfare-promoting effects arising from the conduct substantially outweigh its competition-restricting effects.
 - ② Any other grounds deemed reasonable to justify preferential treatment of an affiliated company.

(3) Establishment of a safety zone

Notwithstanding the foregoing, where the market share of the affiliated company receiving favorable treatment is less than 10% (where it is practically impossible or significantly difficult to calculate market share, where the annual sales revenue of the affiliated company is less than KRW 5 billion), the competition-restricting effects in the relevant market shall be deemed minimal, and such practice shall, in principle, be exempt from review. However, where the practice raises concerns regarding the concentration of economic power, it shall not be exempt from review.

(4) Examples of practices potentially constituting a violation

- (i) Without justifiable grounds, purchasing products from an affiliated company at prices significantly higher than those paid to non-affiliated companies, despite no material difference in quality or transaction terms.
- (ii) Where a business operator transacts with both affiliated and non-affiliated companies but, without justifiable grounds, imposes substantially less favorable payment terms (e.g., cash-payment ratio or bill maturity) on non-affiliated companies than on affiliated companies.
- (iii) Where a business operator commissions processing work to both affiliated and non-affiliated

companies but, without justifiable grounds, pays processing fees that are substantially more favorable to affiliated companies than to non-affiliated ones.

(iv) Without justifiable grounds, supplying raw materials to competitors of an affiliated company on less favorable price or transaction terms, thereby placing the affiliated company in a superior position in competitive bidding.

d. Collective discrimination

Unfairly treating a particular business operator disadvantageously through collective discrimination, thereby materially hindering that business operator's business activities (Attached Table 2 to the Decree)

(1) Scope of review

(i) Discriminatory treatment jointly carried out by multiple business operators toward a particular business operator may be subject to review. Unlike illegal cartel conduct, collective discrimination may be established even without an explicit agreement among the participants, and the participants need not necessarily be in an actual or potential competitive relationships. In addition, the discriminatory treatment must actually occur.

(ii) Such discriminatory treatment may include discrimination in prices, transaction terms, or other transaction conditions.

(iii) A trading partner subject to collective discrimination must be a particular business operator; discrimination directed at an unspecified business operators or consumers does not fall within this category.

(2) Criteria for determining illegality

Whether collective discrimination is unlawful shall be determined in accordance with the criteria applied to price discrimination and discrimination in transaction terms, *mutatis mutandis*. However, because collective discrimination is carried out jointly by multiple business operators, it may, in principle, be more likely to produce competition-restricting effects than discrimination in price or transaction terms.

(3) Establishment of a safety zone

Notwithstanding the foregoing, where the combined market share of the business operators engaging in collective discrimination is less than 10%, the competition-restricting effects in the market shall be deemed minimal, and such practice shall, in principle, be exempt from review. However, where it is practically impossible or significantly difficult to calculate market share, if the combined annual sales revenue of the business operators concerned is less than KRW 5 billion, the practice shall likewise be exempt from review.

(4) Examples of practices potentially constituting a violation

(i) Where multiple business operators, without justifiable grounds, simultaneously engage in price discrimination or discrimination in transaction terms against a particular business operator.

(ii) Where multiple sellers or manufacturers, without justifiable grounds, jointly impose higher prices on a particular business operator that competes with them at the sales stage, thereby hindering that business operator's business activities and affecting competition in the relevant market.

(iii) Where multiple manufacturers, acting jointly, engage in dumping sales, or set the supply price for a particular seller higher than the prices applied to other sellers solely because the

seller engages in online sales, thereby materially disadvantaging that seller and conferring a competitive advantage on other sellers.

3. Exclusion of Competitors

Where a business operator supplies goods or services at a substantially low price so as to exclude competitors from the market and obtain a monopolistic position that enables monopoly pricing, such practice restricts competition, ultimately reduces consumer welfare, and is therefore prohibited. Similarly, where a business operator, for the purpose of excluding competitors from the market, purchases substantial quantities of goods or raw materials essential to those competitors' business operations at unreasonably high prices, thereby hindering fair competition, such practice is also prohibited.

a. Predatory pricing

Without justifiable grounds, continuously supplying goods or services at prices substantially below the cost of supply, or otherwise unfairly supplying goods or services at low prices, thereby creating a risk of excluding a competing business operator of the business operator itself or its affiliates. (Attached Table 2 to the Decree)

(1) Scope of review

- (i) Predatory pricing may take the form of continuous or temporary low pricing.
- (ii) "Continuous low pricing" refers to repeatedly supplying goods or services over a considerable period at prices substantially below the cost of supply. Whether a price is substantially below the cost of supply shall be assessed on the basis of production cost or purchase cost. "Production cost" includes material costs, labor costs, other manufacturing expenses, and general administrative expenses. "Purchase cost" shall be the actual purchase price; provided, however, that where special circumstances exist—such as affiliation or ongoing partnership—an adjusted price reflecting arm's-length transaction prices may be used.
- (iii) "Temporary low pricing" refers to supplying goods or services at substantially low prices on a one-time or short-term basis (generally, within one week). Whether a price is substantially low shall be assessed on the basis of production cost or purchase cost, as in the case of continuous low pricing.
- (iv) Trading partners subject to predatory pricing include both business operators and consumers.
- (v) Predatory pricing shall be distinguished from loss-leader pricing and clearance sales. "Loss-leader pricing" refers to selling certain well-known goods or services at a loss while maintaining or increasing margins on other goods or services as part of a marketing strategy, and is therefore distinguishable from exclusionary conduct. "Clearance sales" are likewise distinguishable in that they are limited to fixed periods publicly announced in advance and are generally intended to dispose of seasonal inventory or respond to adverse market conditions, rather than to exclude competitors.

(2) Criteria for determining illegality

- (i) The primary consideration is whether low pricing creates a risk of excluding a competing business operator (of the business operator itself or its affiliates) from the market in which the relevant goods or services are traded. "A risk of excluding a competing business operator" refers to a likelihood that competitors will be driven out of the market; actual exclusion is not

required.

(ii) Continuous low pricing shall, in principle, be presumed to entail a risk of excluding competitors. However, where the business operator engaging in continuous low pricing demonstrates the existence of justifiable grounds, the legitimacy of those grounds shall be assessed. Where such grounds are recognized, the practice may not be deemed a violation of the Act. Justifiable grounds may include:

- ① Where the relevant market has no significant entry barriers (e.g., economies of scale, licenses required to continue operating, or high switching/transaction costs), such that even if existing competitors are excluded, new entrants can readily emerge.
- ② Where low-priced sales are limited in volume and conducted to dispose of defective goods, goods nearing expiration, seasonal products, or excess inventory.
- ③ Where supply significantly exceeds demand and prices are adjusted downward accordingly.
- ④ Where low-priced sales are conducted for a limited period for promotional purposes in connection with a new store opening or market entry.
- ⑤ Where low-priced sales are conducted to prevent bankruptcy or insolvency, or where the business operator concerned is in bankruptcy or insolvency.
- ⑥ Where efficiency-enhancing or consumer-welfare-promoting effects arising from the continuous low pricing substantially outweigh its competition-restricting effects.
- ⑦ Any other grounds deemed reasonable for continuous low pricing.

(iii) For temporary low pricing, the primary consideration is whether there is a risk of excluding competitors from the market in which the goods or services are traded. Whether such risk exists shall be determined on a comprehensive basis by considering the following factors:

- ① Whether the purpose of low pricing is to exclude competitors and establish a monopolistic or oligopolistic market position.
- ② Whether the practice substantially hinders competitors' ability to continue their business operations or exposes them to a risk of insolvency.
- ③ The competitive structure of the relevant market: where the number of business operators is small and market concentration is high, the risk of exclusion may increase.
- ④ The existence of entry barriers: where there are no significant entry barriers (e.g., economies of scale, license required to continue operating), new entrants may emerge, thereby reducing the risk of exclusion or rendering it minimal.

(iv) Even where temporary low pricing is found to present a risk of excluding competitors, the practice may not be deemed a violation of the Act if justifiable grounds are recognized. Justifiable grounds may include:

- ① Where low-priced sales are limited in volume and conducted to dispose of defective goods, goods nearing expiration, seasonal products, or excess inventory.
- ② Where supply significantly exceeds demand and prices are adjusted downward accordingly.
- ③ Where low-priced sales are conducted for a limited period for promotional purposes in connection with a new store opening or market entry.
- ④ Where low-priced sales are conducted to prevent bankruptcy or insolvency, or where the business operator concerned is in bankruptcy or insolvency.
- ⑤ Where efficiency-enhancing or consumer-welfare-promoting effects arising from the

temporary low pricing substantially outweigh its competition-restricting effects.

⑥ Any other grounds deemed reasonable for temporary low pricing.

(3) Establishment of a safety zone

Notwithstanding the foregoing, where the market share of the business operator engaging in predatory pricing is less than 10%, the competition-restricting effects in the relevant market shall be deemed minimal, and such practice shall, in principle, be exempt from review. However, where it is practically impossible or significantly difficult to calculate market share, if the annual sales revenue of the business operator concerned is less than KRW 5 billion, the practice shall likewise be exempt from review.

(4) Examples of practices potentially constituting a violation

(i) Continuously supplying goods or services below production cost in order to drive competitors out of a market with substantial entry barriers (e.g., economies of scale) that make prompt entry difficult.

(ii) Where a market-dominant business operator continuously supplies goods or services below production cost for a certain period in order to deter or block new entry.

(iii) Without justifiable grounds, bidding in public procurement tenders at prices below the purchase price paid to other business operators, winning long-term supply contracts as a result, and continuously supplying the goods under those contracts.

b. Excessive purchase pricing

Unfairly purchasing goods or services at prices substantially higher than the prevailing transaction price, thereby creating a risk of excluding a competing business operator of the business operator itself or its affiliates. (Attached Table 2 to the Decree)

(1) Scope of review

(i) Purchases at prices substantially higher than the prevailing transaction price may be subject to review. "Prevailing transaction price" refers to the price level ordinarily applied in transactions between business operators in the market at the relevant time. In determining whether a business operator is attempting to exclude competitors by artificially creating a shortage of goods or raw materials, the key consideration is the proportion of such goods or services acquired relative to total supply; accordingly, it is not necessary that high-price purchasing occur on a continuous basis.

(ii) Trading partners subject to excessive purchase pricing are limited to business operators and does not include consumers.

(2) Criteria for determining illegality

(i) The primary consideration is whether the excessive purchase pricing creates a risk of excluding a competing business operator (of the business operator itself or its affiliates) by causing shortages of the relevant goods or services.

(ii) Whether such a risk exists shall be determined on a comprehensive basis by considering the following factors:

① Whether the goods or services subject to excessive purchase pricing are essential to competitors' (including potential competitors') business operations.

② Whether supply and demand for the relevant goods or services are stable, and whether substitute products or services can be procured without difficulty; where substitutes are

available only at substantially higher cost, the risk of exclusion may exist.

③ Whether competitors' business activities are, or are likely to be, adversely affected as a result of the excessive purchase pricing.

(iii) Even where a risk of exclusion is found, the practice may not be deemed a violation of the Act if justifiable grounds are recognized. Justifiable grounds may include:

① Where the business operator unavoidably engages in excessive purchase pricing to prepare for a potential shortage of raw materials or to ensure stable production of its products.

② Where efficiency-enhancing or consumer-welfare-promoting effects arising from the excessive purchase pricing substantially outweigh its competition-restricting effects.

③ Any other grounds deemed reasonable to justify high-price purchasing.

(3) Establishment of a safety zone

Notwithstanding the foregoing, where the market share of the business operator engaging in excessive purchase pricing is less than 10%, the competition-restricting effects in the relevant market shall be deemed minimal, and such practice shall, in principle, be exempt from review. However, where it is practically impossible or significantly difficult to calculate market share, if the annual sales revenue of the business operator concerned is less than KRW 5 billion, the practice shall likewise be exempt from review.

(4) Examples of practices potentially constituting a violation

(i) Where, without justifiable grounds, a business operator purchases goods or services essential to the production or sale of products at prices substantially higher than the prevailing transaction price, thereby making it difficult for competitors of the business operator itself or its affiliates to conduct business and creating a risk that they will be excluded from the market.

(ii) Where a business operator, for the purpose of preventing new entry, purchases goods or services required by potential entrants at prices substantially higher than the prevailing transaction price, thereby materially hindering their entry into the market.

4. Unfair Customer Inducement

To maximize consumer welfare, consumers must be able to purchase high-quality goods or services at reasonable prices on the basis of accurate information. To that end, business operators should compete on the price and quality of the goods or services they provide. Where a business operator induces a competitor's customers to deal with it by providing undue benefits, engaging in deception, or obstructing transactions, such conduct constitutes an unfair means of competition, undermine competitive conditions in the market, and impedes consumers' ability to choose high-quality goods or services at reasonable prices. Such conduct is therefore prohibited.

a. Improper incentives to customers

Providing, or offering to provide, incentives that are unreasonable or excessive in light of normal trading practices in order to induce a competitor's customers to transact with the business operator (Attached Table 2 to the Decree)

(1) Scope of review

(i) Providing, or offering to provide, incentives to a competitor's customers in order to induce them to transact with the business operator may be subject to review. "A competitor's customers" includes not only customers who have transacted with, or are currently dealing with, a competitor, but also customers who are reasonably likely to enter into a trading relationship

with the competitor.

(ii) There is no limitation on the means of providing or offering incentives, which may include labeling or advertising. “Incentives” includes all economic advantages, including: active incentives (e.g., rebates or price discounts; preferential transaction terms; promotional allowances or promotional materials; exchanging a competitor’s product for the business operator’s product while providing an excessive quantity of the business operator’s product as a “bonus”); and passive incentives (e.g., reducing fees or costs that would otherwise be imposed; extending payment deadlines; or waiving obligations to provide collateral or to pay fees for establishing collateral).

(iii) The recipients of improper incentives (or offers thereof) may include both consumers and business operators.

(2) Criteria for determining illegality

(i) The primary consideration is whether the provision (or offer) of incentives constitutes an unfair means of competition that undermines fair competition based on price and quality.

(ii) Whether the practice constitutes an unfair means of competition shall be determined on a comprehensive basis by considering the following factors:

① Whether the incentives provided (or offered) are undue or excessive in light of normal trading practices. Normal trading practices shall, in principle, be assessed by reference to customary practices in the relevant industry; however, depending on the circumstances, they may also be assessed by reference to practices consistent with fair competition and may not necessarily coincide with prevailing commercial practices. Whether an incentive is “undue” shall be assessed taking into account whether it is prohibited by relevant laws and regulations or is otherwise undesirable in light of normal trading practices. Whether an incentive is “excessive” shall be assessed by whether it exceeds the ordinary level in light of normal trading practices.

② Whether the incentives are likely to induce a competitor’s customers (including potential customers) to transact with the business operator. The provider (or offeror) need not actually be transacting with the competitor’s customers; it is sufficient that, objectively, the benefits are likely to substantially influence customers’ decision-making.

(iii) Even where the provision (or offer) of incentives is found to constitute an unfair means of competition, the practice may not be deemed a violation of the Act if justifiable grounds are recognized. Justifiable grounds may include:

① Where efficiency-enhancing or consumer-welfare-promoting effects arising from the provision (or offer) of benefits substantially outweigh the adverse effects on fair trading resulting from the unfair means of competition.

② Any other grounds deemed reasonable for providing (or offering) improper incentives.

(3) Examples of practices potentially constituting a violation

(i) Paying, or offering to pay, clandestine rebates to customers who purchase the business operator’s goods or services in order to induce them to transact with the business operator.

(ii) Providing, or offering to provide, rebates or other incentives to persons who introduce, refer, or recommend a competitor’s customers to the business operator, thereby inducing such customers.

< Specific examples >

- ① A hospital equipped with special imaging devices (e.g., CT scanner) paying rebates to general hospitals or clinics that refer patients for the use of such devices.
- ② A publisher paying rebates to teachers who introduce or recommend the publisher's books as course materials.
- ③ A pharmaceutical company providing rebates or excessive entertainment to hospitals or physicians to have its drugs adopted or to increase prescriptions.
- (iv) Providing clandestine economic incentives in order to win contracts from, or commence transactions with, a particular business operator.

b. Deceptive customer solicitation

Misleading customers—by means other than unfair labeling or advertising specified under Article 3 of the *Act on Fair Labeling and Advertising*—into believing that the content or transaction terms of the business operator's goods or services are significantly superior or more favorable than they actually are or than those of a competitor, or into believing that a competitor's goods or services are significantly inferior or less favorable than they actually are or than those of the business operator, thereby inducing the competitor's customers to transact with the business operator (Attached Table 2 to the Decree)

(1) Scope of review

- (i) Inducing a competitor's customers to transact with the business operator through deception or other fraudulent means may be subject to review. A competitor's customers include not only customers who have transacted with, or are currently in a trading relationship with, a competitor, but also customers who are reasonably likely to enter into a trading relationship with the competitor. "Deception or other fraudulent means" refers to conduct—other than labeling or advertising regulated by the *Act on Fair Labeling and Advertising*—that misleads, or is likely to mislead, customers.
- (ii) Deception or fraudulent means relating to the content of goods or services, transaction terms, or other transaction-related matters may be subject to review. "Content of goods or services" includes quality, specifications, manufacturing date, country of origin, manufacturing method, and shelf life. "Transaction terms" includes price, quantity, and payment terms. "Other transaction-related matters" includes whether a product is domestic or imported, credit terms, industry status, the business operator's transaction bank, and trade names.
- (iii) Trading partners subject to deception or other fraudulent means may include both consumers and business operators.

(2) Criteria for determining illegality

- (i) The primary consideration is whether the deception or other fraudulent means constitutes an unfair means of competition that undermines fair competition based on price and quality.
- (ii) Whether the practice constitutes an unfair means of competition shall be determined on a comprehensive basis by considering the following factors:
 - ① Whether the deception or other fraudulent means misleads, or is likely to mislead, a competitor's customers (including potential customers). Unlike labeling or advertising addressed to an unspecified majority, whether customers are misled or are likely to be misled shall be assessed from the perspective of customers who would enter into a trading relationship with

the business operator. It is not necessary to prove that customers were actually misled; it is sufficient that there is an objective likelihood of materially influencing customers' purchasing decisions.

② Whether the deception or other fraudulent means is used as a means of customer inducement. Even where deception is likely to mislead a competitor's customers, if it is unlikely to cause customers to switch trading partners and transact with the business operator, it constitutes mere disparagement and does not fall within unfair inducement of customers.

(iii) In principle, given the nature of inducement through deception, no justifications are recognized.

(3) Examples of practices potentially constituting a violation

(i) In transactions with another business operator or a consumer, using means other than labeling or advertising to mislead the trading partner—contrary to the facts—into believing that the price, quality, performance, or after-sales service of the business operator's goods or services is significantly superior to that of a competitor, thereby inducing the trading partner to transact with the business operator.

(ii) Advertising a discount sale while making available at the discounted price only quantities markedly insufficient to meet reasonably expected demand (bait advertising)

(iii) Preparing false comparative analyses—contrary to the facts—regarding the business operator's and a competitor's business status, product features, or technological capabilities and submitting them to a procuring entity, thereby winning a contract

(iv) Spreading baseless statements—such as that a competitor is on the verge of bankruptcy or will be excluded from government support programs—in order to induce customers to transact with the business operator

(v) Sales personnel inducing customers by baselessly disparaging a competitor's products

c. Other forms of unfair customer inducement

Unfairly obstructing transactions between a competitor and its customers—such as by inducing non-performance of a contract or preventing contract formation—in order to induce the competitor's customers to transact with the business operator (Attached Table 2 to the Decree)

(1) Scope of review

(i) Inducing customers to transact with the business operator by obstructing transactions between a competitor and its customers may be subject to review. There is no limitation on the means of obstruction; all means other than inducements through improper incentives or deception are included. "Transaction obstruction" includes obstruction of contract formation and obstruction of the continuation of existing transactions.

(ii) A trading partner subject to transaction obstruction may be a competitor or the competitor's customers, and may include both business operators and consumers. "Customers" includes not only those who have transacted with, or are currently in a trading relationship with, a competitor, but also those who are reasonably likely to enter into a trading relationship with the competitor.

(2) Criteria for determining illegality

(i) The primary consideration is whether the obstruction of transactions constitutes an unfair

means of competition that undermines fair competition.

(ii) Whether the practice constitutes an unfair means of competition shall be determined on a comprehensive basis by considering the following factors:

① Whether the obstruction is used as a means of customer inducement. In assessing this, factors such as the motive or intent of the obstruction; changes in the customer's suppliers or transaction volume following the obstruction; the competitor's market position; and the degree of competition shall be considered. Where the conduct is attributable to competition on the merits—such as offering better transaction terms—then, even if it has the effect of inducing customers, it shall not be regarded as a violation. It is sufficient that the conduct makes transactions difficult; it is not necessary that a contemplated transaction between the competitor and its customers actually fail or that an existing trading relationship be terminated.

② Whether, by causing the discontinuation of transactions with a competitor through obstruction, there is a likelihood that the customer will transact with the business operator.

(iii) Even where other forms of unfair customer inducement are found to constitute an unfair means of competition, the practice may not be deemed a violation of the Act if justifiable grounds are recognized. Justifiable grounds may include:

① Where efficiency-enhancing or consumer-welfare-promoting effects arising from the conduct substantially outweigh the adverse effects on fair trading resulting from the unfair means of competition.

② Any other grounds deemed reasonable to justify the conduct.

(3) Examples of practices potentially constituting a violation

(i) For the purpose of obstructing transactions between a competitor and its customers, preventing contract formation between them or inducing the termination of existing contracts.

(ii) Without justifiable grounds, using the business operator's market position to coerce retailers to place a competitor's products in remote or less visible areas of a store.

(iii) Despite knowing that there is no infringement, filing patent infringement lawsuits against a competitor; or obtaining a patent through deceptive means and then filing patent infringement lawsuits against a competitor, without justifiable grounds—thereby abusing patent rights and using that litigation as a sales tool to induce the competitor's customers to transact with the business operator.

5. Coercive Practices

Where a business operator compels a trading partner or its own employees, against their will, to purchase (or sell) goods or services from the business operator or from another business operator designated by it, such conduct amounts to securing customers by exploiting market position, seeks to expand market power by unreasonable means, and restricts consumers' freedom of choice; therefore, such conduct is prohibited.

a. Tie-in Sales (Tying)

Supplying goods or services to a trading partner while unfairly requiring, contrary to normal trading practices, that the trading partner purchase other goods or services from the business operator or from another business operator designated by it (Attached Table 2 to the Decree)

(1) Scope of review

- (i) Compelling a trading partner to purchase distinct and separate goods or services from the business operator or from another enterprise designated by it may be subject to review. Whether the products or services at issue are “distinct and separate” shall be determined on a comprehensive basis by considering whether they are ordinarily traded separately in the market, their commercial uses or functional characteristics, consumer perceptions, and, where applicable, trends in product integration and technological innovation.
- (ii) The business operator engaging in tying may supply both the tying (primary) product (or service) and the tied (secondary) product (or service), or may have a designated third party supply the tied (secondary) product (or service).
- (iii) Tying includes not only sales but also leases.
- (iv) Trading partners subject to a tying arrangement may include both business operators and consumers.

(2) Criteria for determining illegality

- (i) The primary consideration is whether the tying arrangement restricts competition.
- (ii) Whether restrictive effects on competition exist shall be determined on a comprehensive basis by considering the following factors:
 - ① Whether the tying (primary) product (or service) and the tied (secondary) product (or service) constitute separate products (or services). In assessing this, factors such as whether the primary and secondary products (or services) are inseparable components, whether they are ordinarily sold or used together as a single unit, and whether there is sufficient demand to purchase them separately shall be considered.
 - ② Whether the business operator engaging in tying has market power in the market for the tying (primary) product (or service). Market power shall be assessed in accordance with Section III of these Guidelines.
 - ③ Whether customers are compelled to purchase the tying (primary) and tied (secondary) products (or services) together. Whether compulsion exists shall be assessed from the trading partner’s perspective—i.e., whether the trading partner is free to purchase the two distinct products (or services) separately. Compulsion may be more readily found where the trading partner’s ability to switch suppliers for the primary product (or service) is limited; where switching would realistically result in disadvantages—such as refusal to deal in the tying (primary) product (or service) or a reduction of supply—compulsion may be recognized. It is not necessary that the trading partner actually purchase the tied product (or service) from the business operator or the designated supplier.
 - ④ Whether the tying arrangement is undue in light of normal trading practices. Whether it conforms to normal trading practices shall be assessed with reference to customary practices in the relevant market; however, even if tying conforms to customary practices, it may still be deemed unfair where it produces competition-restricting effects.
 - Ⓐ Where tying is a customary practice in the relevant market, it shall, in principle, be deemed consistent with normal trading practices unless it specifically restricts future competition. Conversely, where tying is not a customary practice in the relevant market, it shall, in principle, be deemed undue in light of normal trading practices unless it promotes future competition or increases consumer welfare.

< Examples consistent with normal trading practices >

- Tying goods indispensable to the function of the tying product (e.g., printers and ink; automobiles and tires)
- Tying goods (or services) where supplying them separately is technically very difficult or would entail considerable cost

⑥ Where no customary practice exists in transactions involving tying, the determination shall be based on whether competition-restricting effects arise.

⑤ Whether the tying arrangement excludes, or is likely to exclude, competitors in the market for the tied (secondary) product (or service).

(iii) Even where tying is found to restrict competition, the practice may not be deemed a violation of the Act if justifiable grounds are recognized. Justifiable grounds may include:

① Where efficiency-enhancing effects or consumer-welfare-promoting effects arising from the tying arrangement substantially outweigh its competition-restricting effects.

② Any other grounds deemed reasonable for a tying arrangement.

(3) Examples of practices potentially constituting a violation

(i) Where, in selling a popular product or service, a business operator compels customers to purchase an unpopular product or service together, or, in selling a new product, compels the purchase of an old model or inventory product together, thereby restricting competition in the relevant market.

(ii) Where, in selling expensive machinery or equipment, a business operator, without justifiable grounds, compels customers to obtain loosely related fee-based repair or maintenance services from the business operator, thereby restricting competition in the relevant market.

(iii) Where a holder of patents or other intellectual property rights enters into a license agreement while compelling the purchase of other products or services, thereby restricting competition in the relevant market.

b. Coerced employee purchases

Unfairly coercing officers or employees of the business operator or its affiliates to purchase or sell the business operator's or its affiliates' goods or services (Attached Table 2 to the Decree)

(1) Scope of review

(i) Compelling the business operator's or its affiliates' officers or employees to purchase or sell goods or services supplied by the business operator or its affiliates may be subject to review. "Officers" includes directors, representatives, general partners, auditors or persons in equivalent positions, or general managers and other commercial agents who manage the overall business of a head office or branch. "Employees" refers to persons who are continuously engaged in the company's business operations and are not officers, regardless of the form of employment (e.g., regular, contract, or temporary).

(ii) In principle, requiring officers or employees who are responsible for sales to engage in sales activities is not subject to review. Whether an officer or employee is "responsible for sales" shall be determined by whether the person performs, with respect to the goods or services concerned, sales activities or duties substantially related to sales. For example, personnel in charge of sales at sales offices and personnel engaged in telemarketing outside of sales offices are, in principle, deemed responsible for sales.

(2) Criteria for determining illegality

(i) The primary consideration is whether the coerced employee purchases constitute an unfair means of competition that undermines fair competition.

(ii) Whether the practice constitutes an unfair means of competition shall be determined on a comprehensive basis by considering the following factors:

① Whether the business operator compels officers or employees to purchase or sell its own goods or services or those of an affiliated company. There is no limitation on the means of such compulsion; the existence of compulsion is assessed comprehensively by considering the setting and allocation of purchase/sales targets by the business operator and the existence and degree of sanctions for failure to meet such targets.

② Where failure to meet targets results in adverse personnel evaluations; where employees are forced to purchase the shortfall against their sales targets; or where the achievement of targets is tied to the continuation of employment or conversion from non-regular to regular status, compulsion is, in principle, recognized.

③ Where, after setting individual sales targets for officers and employees, sales performance is systematically tracked and regularly reported to executives or top management as a means to achieve such targets, compulsion is, in principle, recognized.

④ However, where bonuses or other incentives are provided for achieving targets and employees can, at their discretion, choose whether to meet the targets and receive the incentives, compulsion is, in principle, not recognized.

⑤ The mere allocation of targets for the company's goods (or services) and simple encouragement to achieve them, without imposing disadvantages (including *de facto* disadvantages), do not, in principle, constitute compulsion.

⑥ Whether compelling employees to purchase (or sell) is used as a means to induce customers (including potential customers) of competitors to transact with the business operator or its affiliated company. It is not necessary that employees actually purchase goods or services as a result of the compulsion.

⑦ In addition, the duration of the coerced employee purchases or the magnitude of the targets does not affect the determination of illegality.

(iii) Even where coerced employee purchases are found to constitute an unfair means of competition, the practice may not be deemed a violation of the Act if justifiable grounds are recognized. However, as a rule, given the nature of coerced employee purchases, such justifiable grounds shall be construed narrowly. Justifiable grounds may include:

① Where efficiency-enhancing or consumer-welfare-promoting effects arising from the coerced employee purchases substantially outweigh the effects of impeding fair trading due to the unfair means of competition.

② Where there exist unavoidable grounds for imposing the employee sales requirement, such as preventing bankruptcy.

(3) Examples of practices potentially constituting a violation

(i) Allocating quotas of the business operator's or its affiliate's goods or services to officers and employees, systematically tracking sales performance, or deducting the sales proceeds from wages.

- (ii) Setting sales targets for non-sales officers and employees with respect to the sale of the business operator's or its affiliate's goods or services, and imposing personnel-related disadvantages for failure to meet those targets.
- (iii) Setting sales targets for non-sales officers and employees with respect to the sale of the business operator's or its affiliate's goods or services; requiring periodic performance reports to the CEO or the director responsible for sales; and urging sales through organizational channels.
- (iv) Requiring an affiliate to purchase a specified quantity of goods or services produced by the business operator for resale, and the affiliate thereafter coercing its officers and employees to sell those goods or services to partner companies.

c. Other forced transactions

Unfairly forcing a trading partner to transact with the business operator or with another business operator designated by it by offering transaction terms that are disadvantageous or unreasonable in light of normal trading practices (Attached Table 2 to the Decree)

(1) Scope of review

- (i) Compelling a trading partner to transact with the business operator or with another business operator designated by it may be subject to review. This includes explicit or implicit compulsion, as well as direct or indirect compulsion.
- (ii) Other forced transactions may be established even in the absence of a trading relationship between the business operator and the trading partner. This distinguishes them from abuse of bargaining position (coercive purchase), which requires a trading relationship between the business operator and the trading partner.
- (iii) Trading partners subject to other forced transactions may include both business operators and consumers.

(2) Criteria for determining illegality

- (i) The primary consideration is whether the practice constitutes an unfair means of competition that undermines fair competition.
- (ii) Whether the practice constitutes an unfair means of competition shall be determined on a comprehensive basis by considering the following factors:
 - ① Whether the business operator is in a position to impose disadvantages on the trading partner.
 - ② Whether the disadvantages are undue in light of normal trading practices. Whether a disadvantage is undue shall, in principle, be assessed by reference to customary practices in the relevant industry. Undue disadvantages may include, without justifiable grounds, reducing supply or purchase volumes in the main trading relationship; delaying payment; discontinuing transactions or refusing to commence transactions; or reducing sales incentives.
 - ③ Whether the trading partner is coerced into transacting with the business operator or a designated business operator. Whether compulsion exists shall be assessed by whether the trading partner can freely refuse the business operator's demands. Where the trading partner can readily switch the main trading relationship to another supplier, compulsion shall not be found. Conversely, merely offering incentives to transact with the business operator or a designated business operator does not constitute compulsion.
- (iii) Even where other forced transactions are found to constitute an unfair means of

competition, the practice may not be deemed a violation of the Act if justifiable grounds are recognized. However, given the nature of other forced transactions, such justifiable grounds shall, in principle, be construed narrowly. Justifiable grounds may include:

- ① Where efficiency-enhancing or consumer-welfare-promoting effects arising from the conduct substantially outweigh the adverse effect on fair trading due to the unfair means of competition.
- ② Any other grounds deemed reasonable for the conduct.

(3) Examples of practices potentially constituting a violation

- (i) Setting sales targets for goods or services supplied by the business operator to partners of its affiliate, and coercing compliance by threatening disadvantages—such as reducing transaction volumes with the affiliate—if the targets are not met.
- (ii) A business operator informing a partner company that it will be removed from the roster if sales performance of the business operator's goods is poor, thereby effectively compelling sales.

6. Abuse of Superior Bargaining Position

(1) Reason for prohibition

A business operator that takes advantage of its superior bargaining position to unilaterally impose various disadvantages—such as forced purchases or interference with management—on a weaker trading partner engages in exploitative conduct that undermines the foundation for fair and autonomous business development. Such conduct is prohibited because it exploits economically weaker parties and undermines fair trading. However, because the prohibition on abuse of a superior bargaining position applies only in exceptional cases where such a position exists—and thus effectively relaxes the Civil Act's ordinary standard for assessing unfairness in business-to-business dealings—the existence of a superior bargaining position must be determined under a much stricter standard than the ordinary disparities in bargaining power contemplated by the Civil Act.

(2) Distinction from civil matters

- (i) At the commencement stage of transactions, the primary consideration is whether the trading partner had a meaningful choice of trading partners and, with sufficient understanding of the contractual terms, made an independent decision to transact. Where the trading partner could select among several alternatives, understood the terms, and entered into the transaction voluntarily, the matter will generally not fall within the scope of the Act. By contrast, where the trading partner effectively had no reasonable alternative but to transact with a particular business operator in order to commence or maintain ongoing dealings, the conduct may fall within the scope of the Act.
- (ii) At the continuation stage of transactions, the primary consideration is whether the business operator holds a superior bargaining position over the trading partner. Where such a position exists and is used to impose disadvantages, the conduct may fall within the scope of the Act. Where such a position does not exist, the imposition of disadvantages generally does not fall within the scope of the Act.
- (iii) Even where a business operator holds a superior bargaining position over a trading partner, matters that primarily concern the interpretation of contractual rights and obligations or creditor-debtor relationships (e.g., breach of contract, claims for damages, creation or release of

security interests, liquidated damages for delay, etc.) under the relevant contract or applicable laws are, in principle, outside the scope of the Act.

(3) Determining a superior bargaining position

Whether a superior bargaining position exists shall be determined on a comprehensive basis by considering the following factors:

(i) For a superior bargaining position to be recognized, the degree of transactional dependence of one party on the other must be substantial.

① Where dependence is not substantial—i.e., where the trading partner can switch suppliers or customers to avoid disadvantageous terms—it is difficult to recognize a superior bargaining position.

② Transactional dependence is generally reviewed based on the proportion of sales to the other party relative to the total sales of the business operator concerned.

(ii) In determining whether a superior bargaining position exists, the existence of a continuing trading relationship may also be considered. However, even in a one-time transaction, a superior bargaining position may be recognized where one party cannot freely withdraw from the trading relationship.

① In continuing transactions, parties often make relationship-specific investments in specialized capital equipment, personnel, or technology. Where such “lock-in” occurs, the other party may acquire a superior position and use it to impose disadvantageous terms, while the trading partner, in light of sunk investments, is effectively compelled to accept those terms.

② The primary consideration in determining whether a continuing trading relationship exists is whether relationship-specific investments in specialized capital equipment, personnel, or technology have been made to maintain the relationship. For example, where the trading partner maintains exclusive facilities for the transaction, a continuing trading relationship may be found.

(iii) In assessing transactional dependence and the existence of continuing trading relationships, the specific degree or extent shall be determined on a comprehensive basis in light of market conditions and the characteristics of the relevant goods or services.

(iv) Examples of trading relationship in which a superior bargaining position is likely to be recognized

- Between headquarters and partner companies or distributors; large retailers and in-store vendors; city-gas companies and regional management offices; manufacturers and component suppliers; operators of regionally monopolized public facilities and their lessees; sole-source public contractors and their subcontractors; and broadcasters and program suppliers.
- Between a particular business operator and a seller where it is crucial for the seller’s business operations to carry branded products supplied by that business operator.
- Between a particular business operator and a manufacturer or seller where the manufacturer or seller must procure raw materials or components necessary for its business activities from that business operator.
- Where a relationship with a particular business operator continues for a long period and large-scale investments have been made to maintain it, making it difficult for the trading partner to switch partner companies without incurring significant losses.

(4) General criteria for determining illegality

- (i) Whether conduct constitutes an abuse of a superior bargaining position shall be determined on a comprehensive basis by considering whether the business operator holds a superior bargaining position over its trading partner, whether the conduct impairs the fairness of the transaction, and whether the conduct is reasonable.
- (ii) Whether a superior bargaining position exists shall be determined in accordance with Section V.6(3) (Determining a superior bargaining position) of these Guidelines.
- (iii) Whether the transaction terms are fair shall be determined on a comprehensive basis by considering the purpose of the conduct, the trading partner's ability to foresee the disadvantage, customary trade practices in the relevant industry, and relevant laws and regulations.
- (iv) Whether the conduct is reasonable shall be determined on a comprehensive basis by considering whether efficiency-enhancing or consumer-welfare-promoting effects arising from the conduct substantially outweigh the adverse effects on fair trading resulting from the unfairness of the transaction, and whether any other reasonable grounds exist. However, given the nature of abuse of a superior bargaining position, such grounds shall, in principle, be construed narrowly.

a. Forced purchases

Coercing a trading partner to purchase goods or services that it has no intention of purchasing (Attached Table 2 to the Decree)

(1) Scope of review

- (i) Conduct whereby a business operator coerces a trading partner to purchase goods or services that the trading partner has no intention of purchasing may be subject to review. Coercion shall be deemed to exist where the trading partner suffers disadvantages for refusing the purchase request or where, in light of the surrounding circumstances, the trading partner could not reasonably avoid making the purchase.
- (ii) Trading partners subject to forced purchase are, in principle, limited to business operators and do not include consumers. However, this limitation shall not apply where harm to an unspecified number of consumers is likely, or where similar violations occur continuously or repeatedly such that an effect on fair trading is recognized. The goods or services coerced for purchase may be those of the coercing business operator or of another business operator.

(2) Criteria for determining illegality

- (i) The illegality of forced purchases shall be determined in accordance with Section V.6(4) (General criteria for determining illegality) of these Guidelines.

(3) Examples of practices potentially constituting a violation

- (i) Without justifiable grounds, launching a new product and coercing agencies to purchase remaining inventory.
- (ii) Without justifiable grounds, unilaterally supplying unordered goods to a seller in a continuing trading relationship and refusing to accept returns.
- (iii) Without justifiable grounds, coercing a trading partner in a continuing trading relationship to purchase goods or services from a supplier designated by the business operator.
- (iv) Without justifiable grounds, allocating excessive quantities to wholesalers, retailers, or

agencies and, where the allocation is refused or cannot be absorbed, treating the allocation as a completed purchase by the wholesalers, retailers, or agencies.

b. Unjustified demands for concessions

Coercing a trading partner to provide money, goods, services, or other economic benefits for the business operator's own advantage (Attached Table 2 to the Decree)

(1) Scope of review

(i) Conduct whereby a business operator coerces a trading partner to provide money, goods, or other economic benefits may be subject to review. "Economic benefits" includes money, securities, goods, services, and any other items of economic value. Practices in which a business operator uses the bargaining position of an affiliated company to coerce the provision of benefits are also included. Coercion to provide benefits includes not only actively demanding such benefits, but also shifting costs that the business operator should bear to the trading partner, thereby obtaining benefits indirectly.

(ii) Trading partners subject to unjustified demands for concessions are, in principle, limited to business operators and do not include consumers. However, this limitation shall not apply where harm to an unspecified number of consumers is likely, or where similar violations occur continuously or repeatedly such that an effect on fair trading is recognized.

(2) Criteria for determining illegality

(i) The illegality of unjustified demands for concessions shall be determined in accordance with Section V.6(4) (General criteria for determining illegality) of these Guidelines.

(3) Examples of practices potentially constituting a violation

(i) Without justifiable grounds, a business operator with buyer power requiring a trading partner to provide, free of charge, a certain proportion of the goods purchased.

(ii) Without justifiable grounds, demanding donations, sponsorships, or other money, goods, or entertainment unrelated to the transaction from suppliers of goods (including raw materials) or services.

(iii) Without justifiable grounds, a membership-facility operator collects name-transfer fees substantially exceeding the actual costs in connection with the transfer of membership rights.

(iv) Without justifiable grounds, a large-scale retailer requiring store-in-store operators to bear expenses—such as entry fees or POS system charges—not specified in the contract.

c. Imposition of sales targets

Setting sales or transaction targets related to goods or services supplied by the business operator and coercing a trading partner to achieve those targets (Attached Table 2 to the Decree)

(1) Scope of review

(i) Conduct whereby a business operator sets sales targets for a trading partner and coerces the trading partner to achieve them may be subject to review. The goods or services at issue must be those supplied directly by the business operator. In general, this may take the form of quantity allocations for goods or target numbers of subscribers or members for services. Imposition of sales targets includes both targets expressly stipulated in an agency contract and targets imposed orally after execution of the agreement.

(ii) Trading partners subject to imposition of sales targets are, in principle, limited to business operators and do not include consumers.

(2) Criteria for determining illegality

(i) The illegality of the imposition of sales targets shall be determined in accordance with Section V.6(4) (General criteria for determining illegality) of these Guidelines.

(ii) In assessing the fairness of transaction terms, the primary consideration is whether coercion exists with respect to achieving the sales targets. There is no limitation on the means used to compel achievement, and whether the targets are excessive or are in fact achieved does not affect the finding of coercion. It is not necessary that sanctions have actually been imposed for failure to meet the targets.

① Where disadvantages—such as termination of an agency contract or non-payment of sales commissions—are imposed for failure to meet the targets, coercion shall be deemed to exist. However, where sales targets are used solely as an incentive mechanism—such as paying bonuses to encourage voluntary performance—coercion shall, in principle, not be found. Nevertheless, where incentive payments effectively replace the normal distribution margin and thus have the practical effect of compelling achievement of the targets, this exception shall not apply.

(3) Examples of practices potentially constituting a violation

(i) Setting sales targets for agencies or other business operators that sell goods supplied by the business operator and imposing sanctions—such as suspension of supply—for failure to meet the targets.

(ii) Setting quotas for the number of members or subscribers for agencies or other business operators providing services supplied by the business operator, and imposing sanctions—such as termination of agency contracts or suspension of commission payments—for failure to meet the targets.

(iii) Where an agency fails to meet the sales target, requiring the agency to accept products without allowing returns despite a conditional-return arrangement, recording the products as delivered as if received, and deducting the purchase price from future payments.

(iv) Where an agency fails to meet the sales target, the head office conducting dumping sales of unsold stock on the agency's behalf and charging the resulting losses to the agency.

(v) Without prior agreement on unit prices, applying lower prices to sales by the trading partner that fall short of the target than to sales that meet the target, thereby imposing disadvantages.

d. Imposition of disadvantageous terms

Setting or changing transaction conditions, or imposing disadvantages in the course of transactions, in a manner that causes harm to a trading partner, other than the practices described in items (a) through (c) (Attached Table 2 to the Decree)

(1) Scope of review

(i) Setting or changing transaction terms to the detriment of a trading partner

This includes unilaterally imposing disadvantageous terms from the outset or unilaterally changing existing terms to the trading partner's detriment. Transaction terms include, among other things, low-price purchasing or high-price selling; prices (including commissions); methods and timing of payment; return policies; product inspection procedures; contract termination

terms; and other relevant terms and conditions.

(ii) Imposing disadvantages on a trading partner in the course of transactions

This includes not only non-performance of contractual obligations, but also compelling factual acts that disadvantage the trading partner. The imposition of disadvantageous terms may be established by acts (actively imposing disadvantages) or by omissions (e.g., failing to bear costs or responsibilities that should be borne by the business operator). However, where the disadvantage takes the form of monetary loss, the existence and amount of legally cognizable damages must be clearly established; otherwise, the matter should, in principle, be resolved through civil procedures before the provision on abuse of a superior bargaining position is applied.

(iii) Trading partners are, in principle, limited to business operators and do not include consumers. However, this limitation shall not apply where harm to an unspecified number of consumers is likely, or where similar violations occur continuously or repeatedly such that an effect on fair trading is recognized.

(2) Criteria for determining illegality

(i) The illegality of the imposition of disadvantageous terms shall be determined in accordance with Section V.6(4) (General criteria for determining illegality) of these Guidelines.

(3) Examples of practices potentially constituting a violation

< Setting or changing transaction terms >

(i) Requiring transactions to proceed in accordance with Party A's unilateral interpretation where the parties differ in their interpretation of contract terms.

(ii) Imposing terms that allow Party A to reclaim or reduce the contract amount unconditionally in the event of a cost-calculation error.

(iii) During the term of an existing agreement, unilaterally entering into a new agency contract that adds unfair terms inconsistent with normal trade practices.

(iv) Imposing terms under which the trading partner bears unconditional responsibility whenever an external body asserts that the contract price is excessive.

(v) Unilaterally changing the commission rate or payment level specified in the contract to the trading partner's disadvantage.

(vi) During the contract term, unilaterally raising the standards for allocating advertising expenses to a long-term in-store tenant.

< Imposing disadvantages >

(vii) Delaying payment of design-service fees and failing to pay accrued interest for a prolonged period, thereby causing the trading partner effectively to forgo collection.

(viii) Agreeing to set the defect-repair security deposit rate at 2% of the contract amount, but then unilaterally increasing it to 20% at the time of the completion inspection and collecting it accordingly.

(ix) Refusing to accept returns of goods supplied under a conditional-return arrangement, thereby causing the trading partner effectively to forgo returns.

(x) Failing to pay delay interest for a considerable period even when the delay is attributable to the business operator, thereby causing the trading partner effectively to forgo receipt.

(xi) Without justifiable grounds, refusing to recognize increases in construction costs due to

price fluctuations, or refusing to pay additional costs incurred due to the business operator's own fault.

(xii) Using the business operator's superior bargaining position to unjustifiably refuse to deal with a trading partner, thereby imposing disadvantages (refusal to deal constituting abuse of a superior bargaining position).

e. Interference in business operations

Interfering with a trading partner's business operations by requiring the trading partner to obtain the business operator's direction or approval for the appointment or dismissal of its officers or employees, or by restricting the trading partner's product lines, facility size, output, or trading activities (Attached Table 2 to the Decree)

(1) Scope of review

Conduct whereby a business operator interferes with a trading partner's business operations by requiring the business operator's direction or approval for the appointment or dismissal of the trading partner's officers or employees, or by restricting the trading partner's product lines, facility size, output, or trading activities, may be subject to review. Consumers are not included among trading partners.

(2) Criteria for determining illegality

(i) The illegality of interference in business operations shall be determined in accordance with Section V.6(4) (General criteria for determining illegality) of these Guidelines.

(ii) Where the interference is based on legitimate rights—such as the exercise of voting rights or debt collection—and is necessary to protect the rights of investors or creditors, the conduct may not be deemed a violation. In such cases, the appropriateness of the means employed and the availability of less restrictive alternatives shall also be considered.

① Imposing on agencies or other sales operators obligations such as cash sales, direct sales, or duties to explain and provide consultation regarding product use when supplying goods or services shall not be deemed a violation where there are justifiable grounds, such as improving operational efficiency or ensuring product safety.

(iii) Where the interference is necessary to achieve the objectives of domestic or international trade-related laws (e.g., the Uyghur Forced Labor Prevention Act) or to comply with ESG-related global supply-chain legislation, the conduct may not be deemed a violation. In such cases, the appropriateness of the means employed and the availability of less restrictive alternatives shall also be considered.

(3) Examples of practices potentially constituting a violation

(i) Without justifiable grounds, investigating an agency's customers or sales records, or requiring prior approval of product advertising.

(ii) A financial institution, without any material difficulty in debt collection, interfering in business operations of a borrowing company—such as by requiring approval for officer appointments or making such approval a condition for loan issuance.

(iii) In leasing store space or entering into an agency contract, directing or requiring approval for product lines, prices, or service charges contrary to the terms of the agreement.

(iv) Without justifiable grounds, requiring an agency or partner company to increase the number of vehicles used for business purposes.

7. Restrictive Trade Practices

Where a business operator restricts a trading partner from dealing with the business operator's competitors or those of its affiliate, thereby limiting the trading partner's freedom to choose counterparties and—by foreclosing access to purchasing sources or distribution channels—making market entry or expansion by competitors difficult, such conduct restricts competition in the market and may ultimately reduce consumer welfare and is therefore prohibited. Likewise, where a business operator restricts a trading partner's transaction territory or counterparties in a way that confers exclusive power over the relevant area or trading partners and thereby impedes competition, such conduct may reduce consumer welfare and is therefore prohibited.

a. Exclusive dealing

Unfairly transacting with a trading partner on the condition that the trading partner does not deal with the competitors of the business operator or its affiliate (Attached Table 2 to the Decree)

(1) Scope of review

(i) Transacting with a trading partner on the condition that the trading partner does not deal with the competitors of the business operator or its affiliate may be subject to review.

① Competitors include not only current competitors but also potential competitors.

② Exclusive dealing includes not only express prohibitions or restrictions on transactions with competitors, but also prohibitions or restrictions on handling competing products with respect to the goods or services supplied by the business operator. Accordingly, this includes: exclusive supply agreements under which sellers must procure all required quantities from the business operator, and exclusive distribution agreements under which manufacturers must sell all quantities only to the business operator. It also covers conditions requiring the discontinuation of existing transactions or preventing the commencement of new transactions.

③ Exclusive dealing includes cases where the restriction is expressly specified in a contract, as well as cases where it is not expressly stated but the trading partner is *de facto* bound due to disadvantages associated with dealing with competitors. Where disadvantages—such as termination of the transaction, reduction of supply, debt collection, or suspension of sales incentives—are imposed for breach, the exclusive dealing may be deemed *de facto* binding.

(ii) Trading partners subject to exclusive dealing do not include consumers, regardless of how the condition is described.

(2) Criteria for determining illegality

(i) The primary consideration is whether the exclusive dealing restricts competition in the relevant market.

(ii) Whether the conduct has competition-restricting effects shall be determined on a comprehensive basis by considering the following factors, with particular focus on whether the exclusive dealing excludes, or is likely to exclude, the competitors (including potential competitors) of the business operator or its affiliate by foreclosing access to purchasing sources or distribution channels or by restricting competitors' means of competition:

① Whether competitors can secure alternative supply sources or distribution channels. Even where exclusive dealing exists, if competitors (including potential competitors such as new entrants) can easily secure alternative suppliers or distribution routes, exclusionary effects are

reduced.

② Whether the conduct limits the means by which competitors can compete.

③ The market share and market position of the business operator concerned. The higher the market share or the stronger the market leadership, the greater the potential exclusionary effect.

④ The number of trading partners subject to exclusive dealing and their collective market share. The greater the number of such trading partners or their collective market share, the greater the potential exclusionary effect.

⑤ The duration of the exclusive dealing. Short-term arrangements have limited impact, whereas long-term arrangements may significantly affect competition.

⑥ The intent and purpose of the exclusive dealing. For example, exclusive dealing used to support initial market entry may have limited exclusionary effect in foreclosing competitors' access to purchasing sources or distribution channels.

⑦ Whether the exclusive dealing is implemented in combination with other anti-competitive practices, such as territorial restrictions or resale price maintenance. Parallel implementation may further strengthen the business operator's market power.

(iii) Even where exclusive dealing is found to restrict competition, it may not be deemed a violation of the Act where it is reasonable, including where:

① The exclusivity is indispensable or unavoidable for the provision of after-sales service due to the technical or professional characteristics of the goods or services.

② Consumer-welfare-promoting effects—such as enhanced service competition among brands—substantially outweigh the competition-restricting effects.

③ Efficiency-enhancing effects—such as preventing free-riding (a practice in which a distributor incurs promotional expenditures to stimulate demand, and another distributor exploits the resulting demand to expand sales or distribution without undertaking comparable promotional efforts) by distributors or reducing sales and procurement costs—substantially outweigh the competition-restricting effects.

(3) Establishment of a safety zone

Notwithstanding the foregoing, where the market share of the business operator engaging in exclusive dealing is less than 10%, the competition-restricting effects in the relevant market shall be deemed minimal, and such practice shall, in principle, be exempt from review. However, where it is practically impossible or significantly difficult to calculate market share, if the annual sales revenue of the business operator concerned is less than KRW 5 billion, the practice shall likewise be exempt from review.

(4) Examples of practices potentially constituting a violation

(i) Where competitors have difficulty securing distribution networks, a business operator with a substantial market share restricts its agencies from handling competing products, thereby hindering competition in the relevant market.

(ii) Where competitors have difficulty securing alternative trading partners, a business operator with buyer power transacts on the condition that its trading partners do not supply goods or services to the competitors of the business operator or its affiliates, thereby restricting competition.

- (iii) Where a business operator with a substantial market share imposes conditions on multiple trading partners forming business alliances that prohibit overlapping alliances with the competitors of the business operator or its affiliates, thereby restricting competition—particularly where competitors cannot readily secure alternative alliance partners.
- (iv) Where a business operator enters into an agreement on the condition that a supplier will not supply self-developed products or raw materials to competitors, thereby hindering competitors' production or sales activities and restricting competition in the relevant market.
- (v) Where a business operator with a substantial market share requires door-to-door sellers who are its clients to sell its products exclusively and to obtain prior approval before handling competing products, and provides for termination upon breach.
- (vi) Where a business operator with a substantial market share, in response to parallel imports of its products, instructs its distributors not to supply its products to wholesalers or retailers that handle parallel-imported goods.
- (vii) Where a petroleum refiner, contrary to the will of petroleum retailers (e.g., gas stations), enters into arrangements that effectively prohibit those retailers from purchasing petroleum products from competitors by coercing them to purchase all petroleum products exclusively from the refiner.

b. Territorial or customer restrictions

Transacting on unfair terms that restrict a trading partner's sales territory or its customers in connection with the sale of goods or services (Attached Table 2 to the Decree)

(1) Scope of review

- (i) Restricting a trading partner's sales territory may be subject to review. Depending on the degree of restriction, such conduct may take the forms of: a responsibility territory system (or sales base system) under which a sales territory is designated but sales outside the designated territory are permitted; an open territory restriction system under which the sales territory is limited but multiple sellers are permitted within the restricted territory; or a closed territory restriction system under which sales territories are allocated and sanctions are imposed for sales outside the designated territory, thereby effectively compelling compliance.
- (ii) Restricting a trading partner's transaction parties may also be subject to review. This includes restrictions on the trading partner's customers, suppliers, or vendors. For example, this includes cases where a manufacturer or importer classifies agencies (or distributors) into "household" and "business" channels and prohibits them from operating outside their respective channels, or designates particular wholesalers or retailers with whom agencies may transact.
- (iii) Such restrictions need not be unilaterally imposed by the business operator; they may also be introduced at the request of the trading partner or by agreement between the parties. The label or form of the restriction is immaterial; it is sufficient that the trading partner is, in substance, effectively constrained.
- (iv) Trading partners subject to such restrictions do not include consumers. Territorial or customer restrictions are distinguished from resale price maintenance in that they impose non-price constraints on trading partners in a vertical relationship.
- (v) Where a business operator, in a consignment (commission) sales relationship conducted at

the consignor's risk and expense pursuant to the Commercial Act, sets sales targets, such arrangement does not constitute a restriction on the trading partner's sales territory or transaction parties.

(2) Criteria for determining illegality

(i) The primary consideration is whether the territorial or customer restriction restrains competition in the relevant market.

(ii) Whether the conduct has competition-restricting effects shall be determined comprehensively by weighing potential restrictions on intra-brand competition against potential efficiencies and benefits for inter-brand competition, taking into account the following factors:

① The degree of restriction. Where the restriction is not binding in practice—such as a responsibility territory system or an open territory restriction without sanctions for violations—the conduct is, in principle, less likely to raise concerns. By contrast, a closed territory restriction system backed by sanctions may restrict intra-brand competition and may therefore raise concerns. Customer restrictions shall be assessed in the same manner.

② Whether inter-brand competition is active in the relevant market. Where inter-brand competition is robust, territorial or customer restrictions may enhance efficiency by preventing free riding and encouraging promotional and service efforts, thereby promoting inter-brand competition.

③ The market share of the business operator concerned, and the number and market share of the trading partners subject to restriction. The higher the business operator's market share and the smaller the market shares of its competitors, the greater the potential harm to intra-brand competition.

④ Whether the restriction is implemented in combination with, or used to facilitate, resale price maintenance or other unfair practices. Parallel implementation may significantly amplify competition-restricting effects.

⑤ Whether the restriction limits consumer choice or reduces incentives to improve service quality or to lower prices.

(iii) Even where competition-restricting effects are found, the conduct may not be deemed a violation of the Act if it is recognized as reasonable, including where:

① Efficiency-enhancing or consumer-welfare-promoting effects other than those described above substantially outweigh the competition-restricting effects; or

② Any other grounds deemed reasonable for the conduct.

(3) Establishment of a safety zone

Notwithstanding the foregoing, where the market share of the business operator engaging in the restriction is less than 10%, the competition-restricting effects in the relevant market shall be deemed minimal, and such practice shall, in principle, be exempt from review. However, where it is practically impossible or significantly difficult to calculate market share, if the annual sales revenue of the business operator concerned is less than KRW 5 billion, the practice shall likewise be exempt from review.

(4) Examples of practices potentially constituting a violation

(i) Where, in an oligopolistic market, a manufacturer with a substantial market share allocates exclusive sales territories for each agency and prohibits promotional or sales activities outside

the designated territory, with contract termination for violations.

(ii) Where, in an oligopolistic market, a manufacturer with a substantial market share strictly classifies agencies into “household” and “business” channels and provides for termination of the agency contract upon violation.

(iii) Where a manufacturer, to ensure the effectiveness of resale price maintenance, limits wholesalers to designated retailers as their sales outlets and requires retailers to purchase only from specified wholesalers.

8. Obstruction of Business Operations

Where a business operator unfairly uses another business operator’s technology, unfairly induces or hires its personnel, or unfairly impedes customer switching, thereby interfering with the other business operator’s business activities to such an extent as to seriously hinder them, such conduct constitutes an unfair means of competition that undermines competition on the merits—such as competition on price, quality, or service—and is therefore prohibited.

a. Misappropriation of technology

Unfairly using another business operator’s technology in a manner that significantly hinders that business operator’s business activities (Attached Table 2 to the Decree)

(1) Scope of review

Unfair use of another business operator’s technology may be subject to review. In this context, “another business operator” is not limited to a competitor. “Technology” includes production methods, sales methods, or business-related know-how protected under relevant intellectual property laws (e.g., the Patent Act) or protected as trade secrets or otherwise maintained as confidential.

(2) Criteria for determining illegality

(i) The primary consideration is whether the unfair use of technology constitutes an unfair means of competition that undermines fair trading.

(ii) Whether the conduct constitutes an unfair means of competition shall be determined on a comprehensive basis by considering the following factors:

① Whether the use of the technology is unfair. In assessing unfairness, factors such as the purpose and intent of the use, the specific characteristics of the technology, any violation of relevant laws (e.g., the *Patent Act*), and prevailing industry practice shall be considered.

② Whether the conduct significantly hinders the other operator’s business activities. A mere decrease in sales is insufficient. Rather, it must be shown that substantial sales losses, loss of trading partners, or similar effects have made, or are likely to make, the business operator’s current or future business activities materially difficult. However, where sales or the number of trading partners is not a reliable indicator—due to early-stage business conditions or industry-specific volatility—those indicators may be given reduced weight or disregarded.

(iii) Even where the unfair use of technology is found to constitute an unfair means of competition, the conduct may not be deemed a violation of the Act where justifiable grounds are recognized, including where efficiency-enhancing or consumer-welfare-promoting effects are significant.

(3) Examples of practices potentially constituting a violation

- (i) Using another business operator's technology without authorization in a manner that seriously hinders that business operator's production or sales activities.

b. Unfair inducement or hiring of personnel

Unfairly inducing or hiring another business operator's personnel in a manner that significantly hinders that business operator's business activities (Attached Table 2 to the Decree)

(1) Scope of review

Unfair inducement or hiring of another business operator's personnel may be subject to review. In this context, "another business operator" is not limited to a competitor.

(2) Criteria for determining illegality

- (i) The primary consideration is whether the unfair inducement or hiring of personnel constitutes an unfair means of competition that undermines fair trading.
- (ii) Whether the conduct constitutes an unfair means of competition shall be determined on a comprehensive basis by considering the following factors:

① Whether the inducement or hiring is improper. In assessing impropriety, factors such as the purpose and intent of the inducement or hiring, the importance of the personnel to the other business operator's business, the means employed, prevailing industry practice, and relevant laws shall be considered.

② Whether the conduct significantly hinders the other business operator's business activities. A mere decrease in sales is insufficient. Rather, it must be shown that substantial sales losses, loss of trading partners, or similar effects have made, or are likely to make, the business operator's current or future business activities materially difficult.

- (iii) Even where the inducement or hiring is found to constitute an unfair means of competition, the conduct may not be deemed a violation of the Act where justifiable grounds are recognized, including where efficiency-enhancing or consumer-welfare-promoting effects are significant.

(3) Examples of practices potentially constituting a violation

- (i) Recruiting a substantial portion of another business operator's core personnel by offering or promising excessive benefits, thereby substantially hindering that business operator's business activities.
- (ii) Recruiting a large number of a competitor's key personnel for the purpose of disrupting the competitor's business, even though such personnel are not needed for the recruiter's own business activities, thereby substantially hindering the competitor's business operations.

c. Obstruction of customer switching

Unfairly obstructing another business operator from switching its customers, thereby seriously hindering that business operator's business activities (Attached Table 2 to the Decree)

(1) Scope of review

Conduct that obstructs another business operator from switching its customers may be subject to review. "Another business operator" is not limited to a competitor.

(2) Criteria for determining illegality

- (i) The primary consideration is whether the obstruction of customer switching constitutes an unfair means of competition that undermines fair trading.
- (ii) Whether the conduct constitutes an unfair means of competition shall be determined on a

comprehensive basis by considering the following factors:

① Whether the obstruction is improper. In assessing impropriety, factors such as the purpose and intent of the obstruction, the means employed, prevailing trade practices in the relevant industry, the importance of the customers concerned to the other business operator's business, and relevant laws and regulations shall be considered.

② Whether the conduct severely hinders the other business operator's business activities. A mere decrease in sales is insufficient. Rather, it must be shown that the conduct has caused, or is likely to cause, material difficulty in continuing current or future business operations—for example, by causing a substantial loss of sales, loss of trading partners, or a heightened risk of insolvency.

(iii) Even where the obstruction of customer switching is found to constitute an unfair means of competition, the conduct may not be deemed a violation of the Act where justifiable grounds are recognized, including where efficiency-enhancing or consumer-welfare-promoting effects are significant.

(3) Examples of practices potentially constituting a violation

(i) Refusing to release collateral, or unilaterally returning previously purchased goods, in retaliation against a business operator that has expressed its intention to switch suppliers.

d. Other interference with business activities

Unfairly interfering with another business operator's business activities to such an extent as to seriously hinder them, by means other than those set forth in items (a) through (c). (Attached Table 2 to the Decree)

(1) Scope of review

Conduct that otherwise materially interferes with another business operator's business activities may be subject to review. The means of interference are not limited, and this provision covers conduct that seriously hinders another business operator's business activities, regardless of whether the conduct enhances the interfering party's own efficiency or capability. In this context, "another business operator" is not limited to a competitor.

(2) Criteria for determining illegality

(i) The primary consideration is whether the interference with business activities constitutes an unfair means of competition that undermines fair trading.

(ii) Whether the conduct constitutes an unfair means of competition shall be determined on a comprehensive basis by considering the following factors:

① Whether the interference is improper. In assessing impropriety, factors such as the means employed, the purpose and intent, prevailing trade practices in the relevant industry, and relevant laws and regulations shall be considered.

② Whether the conduct severely hinders the other business operator's business activities. A mere decrease in sales is insufficient. Rather, it must be shown that the conduct has caused, or is likely to cause, material difficulty in continuing current or future business operations—for example, by causing a substantial loss of sales, loss of trading partners, or a heightened risk of insolvency.

(iii) Even where the interference is found to constitute an unfair means of competition, the conduct may not be deemed a violation of the Act where justifiable grounds are recognized,

including where efficiency-enhancing or consumer-welfare-promoting effects are significant.

(3) Examples of practices potentially constituting a violation

- (i) Intentionally obstructing another business operator's access to facilities essential to its business operations, thereby hindering that business operator's business activities.
- (ii) Spreading false statements—such as claims that a competitor faces imminent insolvency or will be excluded from government support programs—in order to induce the competitor's agencies or customers to terminate contracts or reduce purchases.
- (iii) Distributing false or defamatory materials about another business operator, thereby hindering its business activities.

VI. Reassessment Period

Pursuant to the *Regulations on the Issuance and Management of Directives and Established Rules*, the Korea Fair Trade Commission shall review the validity of this Established Rule every three years from January 1, 2022 (i.e., by December 31 of each third year) and take measures such as amendments or improvements as necessary.

Addendum [<No.477, Dec. 30, 2024>](#)

This Established Rule shall enter into force on December 30, 2024.